

because it helps me improve my credit score and gives me cash-back rewards that I can use to pay for airline tickets every summer. That's right—because I use my credit card responsibly, I cash in my reward points every year and get myself a free flight.

Although the credit card companies are going to try to sell you on all sorts of rewards programs, the real reward of a credit card is the boost to your credit history and credit score. If you get a credit card while you are in college and manage it successfully by never missing a payment, you will begin to build a solid credit score that will help you earn lower interest rates from lenders in the future. Getting a lower interest rate on your big purchases (a car or a house, for example) is going to be far more valuable than any rewards that a credit card may offer you.

That said, credit card rewards programs can also be pretty sweet. Credit card companies will offer things like 2% cash back for all purchases, which means for every \$100 you spend on your card, they will give you \$2 back that you can redeem at a later time. I won't go into all the details of rewards programs because (1) there are so many, and you will have to choose the one that is best for you; and (2) you should never open a credit card account just for the rewards. You must remember that these programs are not designed because your credit card company is super cool and wants to hook you up. They are designed to entice people who these companies hope will rack up crazy amounts of high-interest debt. If you follow the suggestions in this chapter, you can be one of the people who benefits from these rewards programs, and not one of the many who are crushed by debt.